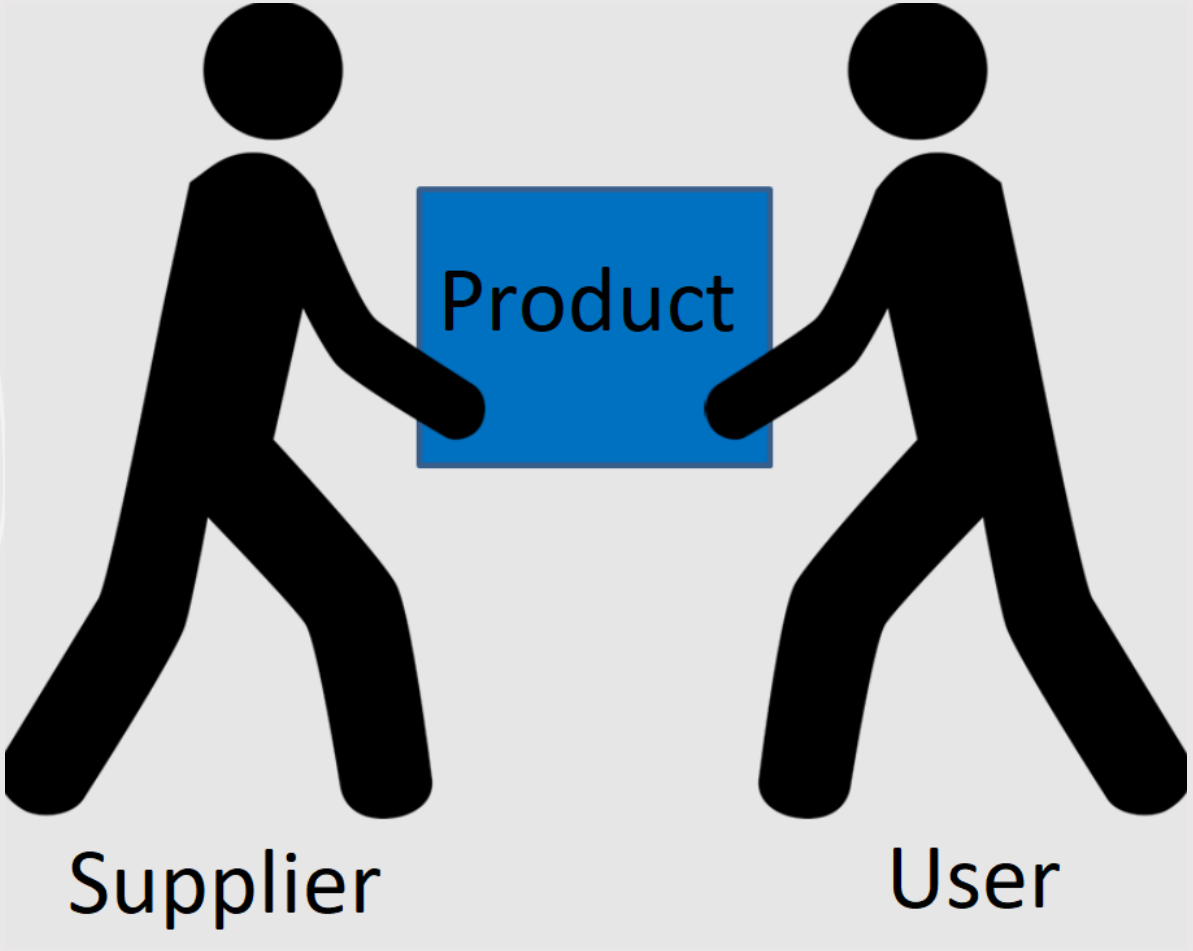
# Connected System Design Project (EGE205)

User and Data Collection

# Users



# User Definition

In product development, a user is a person who is intended to ultimately use a product.

Users typically **do not** possess strong technical **understanding** of a product. **But they know their problems and needs.**

**Knowing** and **understanding** your user is of paramount important. It will help you to design and develop a **product that works well for them**.

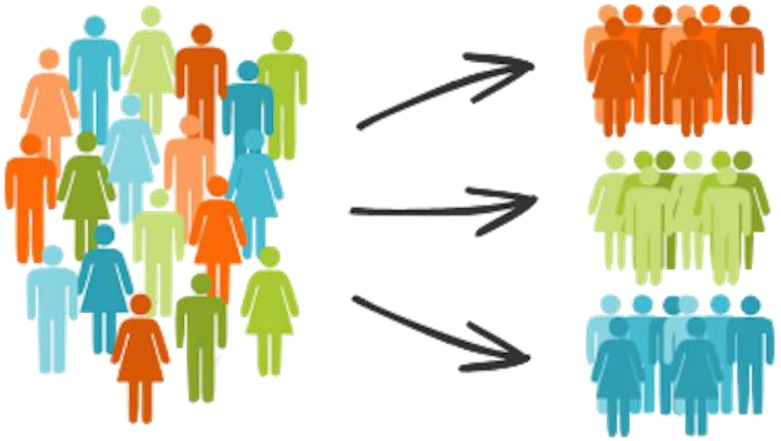
Who are your users? This will decide your **positioning** in the market. It will help you set goals on how to meet their needs and attract their interest.  We will do this through a systematic process called STP (segmentation, targeting and positioning).

# User Segmentation

**User segmentation** is the process of dividing a **large anonymous group** of users into **a number of smaller groups** based on certain characteristics. It's also sometimes called "market segmentation."

There are **five** basic ways to segment the users:

- Demographic B2C Segmentation
- Demographic B2B Segmentation
- Geographic Segmentation
- Psychographic Segmentation
- Behavioral Segmentation



# User Segmentation

**Demographic B2C**

This is perhaps the most straightforward way of defining user groups. It does not look into the character and personality of a person. Instead, it looks at **identifiable non-character traits** such as:

- Age
- Gender
- Ethnicity
- Income
- Level of education
- Religion
- Profession/role in a company

# User Segmentation

**Demographic B2B**

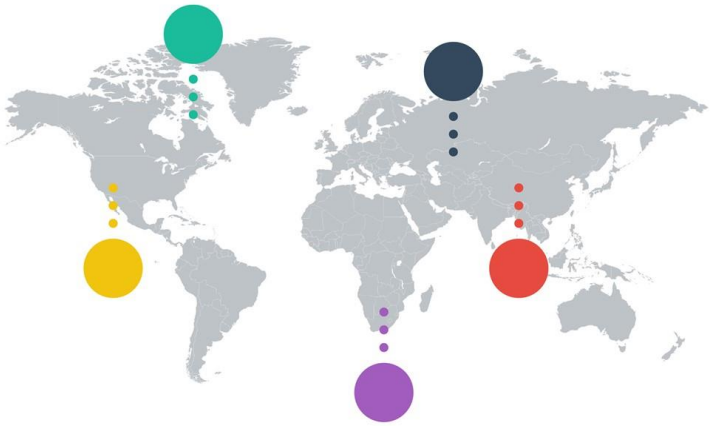
Demographic B2B segmentation can include:

- Company employee size
- Industry
- Role
- Operating hour
- Business model

# User Segmentation

**Geographic**

- This is often one of the easiest way to identify and group users with regards to their **physical location.** This can be defined in any number of ways:
  - Country
  - Region
  - City
  - Postal code



# User Segmentation

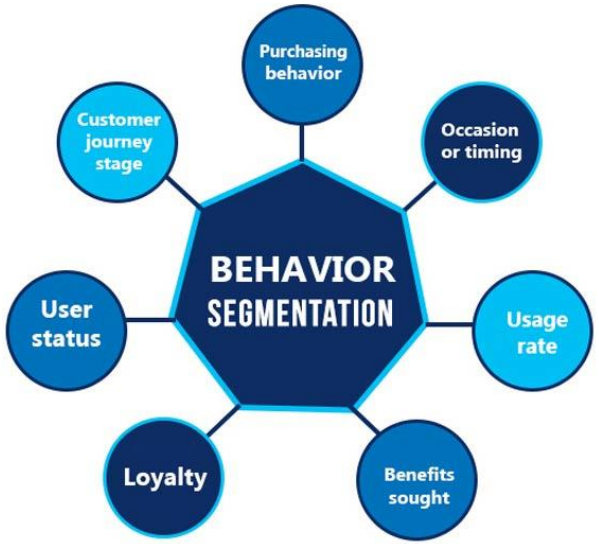
**Psychographic**

- This segment focuses on **users' personalities and interests**. It looks at the user and define them by their:
  - Personality traits
  - Hobbies
  - Life goals
  - Values
  - Beliefs
  - Lifestyles

# User Segmentation

**Behavioral**

- This is possibly the most useful of all for e-commerce businesses. Here users are grouped with regards to their:
  - Spending habits
  - Purchasing habits
  - Browsing habits
  - Interactions with the brand
  - Loyalty to brand
  - Previous product ratings



# User Group Decision

With the user segments in hand, it's time to decide which particular segment is worth **targeting**.

- Is the segment accessible by the means available, e.g. e-commerce platforms? (reachable)
- Does it have enough potential customers to yield enough profits? (sizeable)
- Does it have enough purchasing power for them to be converted for sales given the likely price point? (affordability)
- Is it willing to adopt new technology? (receptive to technology change)
- Is there a real problems or needs in the user segment that is noticeably different from other segments (perceptible user problems or needs)?
- Others factors to consider. For example, is your team able to serve the segment? Are there any physical, legal, social, or technological barriers that could prevent that?

# Choose the User Segment for Your Group

Choosing a user segment for your project is a strategic decision.

A decision matrix can help you better understand the viability of your choice.

## USER GROUP DECISION MATRIX TABLE

| CRITERIA DESCRIPTION | Reachable | Sizeable | Affordability | Receptive to technology change | Perceptible user problems or needs | ---------- |
|---|---|---|---|---|---|---|
| | Criteria 1 | Criteria 2 | Criteria 3 | Criteria 4 | Criteria 5 | WEIGHTED SCORE |
| WEIGHT | | | | | | 0 |
| PREFFERED USER GROUPS | Criteria 1 SCORES | Criteria 2 SCORES | Criteria 3 SCORES | Criteria 4 SCORES | Criteria 5 SCORES | |
| Team member 1: *Write the description of the preferred user group here* | | | | | | 0 |
| Team member 2: *Write the description of the preffered user group here* | | | | | | |

# Project Report (Part 1)

## Task 1 – Targeted User Group Identification (Week 2)

1. Each team member to **indicate** and **describe** his preferred targeted user group based on **at least 1** user segment.
2. Work as a team to use a decision matrix table (refer to the template given on BrightSpace) to identify a targeted user group for your team.

# Project Report (Part 1)

**Reading References:**


- https://www.digitaldoughnut.com/articles/2016/july/customer-segmentation-5-ways-to-divide-the-consum
- https://www.startups.com/library/expert-advice/defining-target-market-think-small
- https://www.questionpro.com/blog/what-is-a-questionnaire
- https://data.gov.sg
- https://www.singstat.gov.sg
- https://ourworldindata.org
- https://data.worldbank.org

# Connected System Design Project (EGE205)

End of User and Data Collection